hence every manager can be viewed as a specialist in the art of decision making. It is by decision making all the plans and policies are translated in to action.



Figure 4.1 Decision Making

4.2 Meaning

The word decision has been derived from the Latin word " DECIDERE" which means "Cutting Off". Thus decision making involves cutting off of alternatives between those that are desirable and those that are not desirable. So decision making is a kind of choice of a desirable alternative. Generally decision making is a psychological process resulting in the selection of a belief (or) a course of action among several alternative possibilities. It is a problem solving activity followed by an optimal solution to the business problem or situation.

4.3 Definition of Decision Making

According to George Terry **"Decision-Making" is the selection of an alternative, from two or more alternatives to determine an opinion or a course of action"**

According to Philip Kotler **"A decision may be defined as a conscious choice among alternative courses of action"**

According to Henry Sisk and Cliffton Williams **"A decision is the selection of a course of action from two or more alternatives, the decision making process is a sequence of steps leading to that selection"**

According to Herbert A. Simon **"Whatever a manager does is nothing but decision making"**

4.4 Characteristics of Decision Making



Figure 4.2 How to select Best Decision

1. Decision making is a goal-oriented process. It aims at achieving certain specified goals of the organisation.
2. Decision making is a selection process in which best alternative course of action is chosen from amongst alternative courses of action.
3. Decision making is a continuous process because a manager is required to take decisions continuously for different activities.
4. Decision making is considered both an art and a science.
5. Decision making is the responsibility of managers at different levels of management.
6. Decision making involves deep and careful thinking and hence it is a mental process.

XII OSS_English version CHAPTER 04.indd 49 1/7/2020 5:50:11 PM